Management of the body corporate's financial affairs and funds (Rule 26(5)(c)(iii) and (iv))

In terms of relevant International Standards applicable to audit, review and other assurance engagements we were unable to conduct an engagement relating to whether the books of account of the body corporate have been kept and its funds have been managed so as to provide a reasonable level of protection against theft or fraud, and whether the financial affairs of the body corporate appear to be effectively managed, as required by Rules 26(5)(c)(iii) and (iv). We have not performed any audit, review or other assurance engagement in relation to these matters and accordingly we do not express any assurance opinion or conclusion thereon.

Bemont Krona Accountants and Auditors Inc.
Per: Jan Cronje - Director
Registered Auditors
Chartered Accountants (SA)
12 November 2019

3 Wimble Close
Ballito
4420

Report of the Compiler

To the Trustees and Section Owners of Taragona Body Corporate

We have compiled the accompanying financial statements of Taragona Body Corporate based on information you have provided. These financial statements comprise the statement of financial position of Taragona Body Corporate as at 30 September 2019, the statement of comprehensive income, the statement of changes in funds and reserves and the statement of cash flows for the year then ended, a summary of significant accounting policies and other explanatory information.

We performed this compilation engagement in accordance with International Standard on Related Services 4410 (Revised), Compilation Engagements.

We have applied our expertise in accounting and financial reporting to assist you in the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards for Small- and Medium-sized Entities (IFRS for SMEs). We have complied with relevant ethical requirements, including principles of integrity, objectivity, professional competence and due care.

These financial statements and the accuracy and completeness of the information used to compile them are your responsibility.

Since a compilation engagement is not an assurance engagement, we are not required to verify the accuracy or completeness of the information you provided to us to compile these financial statements. Accordingly, we do not express an audit opinion or a review conclusion on whether these financial statements are prepared in accordance with IFRS for SMEs.

Francois Gourel - Rivalland
Associate General Accountant (S.A.)
12 November 2019

315 Republic Road
Cresta
2118

Trustees' Responsibilities and Approval

The trustees are required to maintain adequate accounting records and are responsible for the content and integrity of the annual financial statements and related financial information included in this report. It is their responsibility to ensure that the annual financial statements satisfy the financial reporting standards as to form and content and present fairly the statement of financial position, results of operations of the body corporate, and explain the transactions and financial position of the business of the body corporate at the end of the financial year. The annual financial statements are based upon appropriate accounting policies consistently applied throughout the body corporate and supported by reasonable and prudent judgements and estimates.

The trustees acknowledge that they are ultimately responsible for the system of internal financial control established by the body corporate and place considerable importance on maintaining a strong control environment. To enable the trustees to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the body corporate and all employees are required to maintain the highest ethical standards in ensuring the body corporates business is conducted in a manner that in all reasonable circumstances is above reproach.

The focus of risk management in the body corporate is on identifying, assessing, managing and monitoring all known forms of risk across the body corporate. While operating risk cannot be fully eliminated, the body corporate endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The trustees are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss. The going-concern basis has been adopted in preparing the financial statements. Based on forecasts and available cash resources the trustees have no reason to believe that the body corporate will not be a going concern in the foreseeable future. The financial statements support the viability of the body corporate.

The financial statements have been audited by the independent auditing firm, Bemont Krona Accountants and Auditors Inc., who have been given unrestricted access to all financial records and related data. The trustees believe that all representations made to the independent auditor during the audit were valid and appropriate. The external auditors' unqualified audit report is presented on page 2 to 4.

The annual financial statements as set out on pages 8 to 15 were approved by the board on 12 November 2019 and were signed on its behalf by:

Trustee	Trustee

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)
Annual Financial Statements for the year ended 30 September 2019

Trustees' Report

The Trustees present their report for the year ended 30 September 2019.

1. **Review of activities**

Main business and operations

The principal activity of the body corporate is responsible for the management and administration of the common property. and there were no major changes herein during the year.

The operating results and statement of financial position of the body corporate are fully set out in the attached financial statements and do not in our opinion require any further comment.

2. **Insurance and Risk Management**

The Body Corporate follows a policy of reviewing the risks relating to assets and possible liabilities from business transactions with its insurers on a annual basis. Wherever possible assets are automatically included. There is also a continuious asset risk control program, which is carried out in conjuction with the Body Corporate's insurance brokers. All risks are considered to be adequately covered, except for political risks, in the caseof which as much cover as is reasonably available has been arranged.

3. **Events after reporting date**

The trustees are not aware of any matter or circumstance arising since the end of the financial year to the date of this report that could have a material effect on the financial position of the body corporate.

4. **Trustees' interest in contracts**

To our knowledge none of the trustees had any interest in contracts entered into during the year under review.

5. **Trustees**

The trustees of the body corporate during the year and to the date of this report are as follows:

Muda Lubowa - Unit 11
Janin Daniel - Unit 12
Patricia Byrne - Unit 24
Kelsey Aspeling - Unit 25
Candice Springfield - Unit 7

6. **Managing Agents**

The body corporate's designated managing agent is The Sectional Title Specialists CC.

7. **Independent Auditors**

Bemont Krona Accountants and Auditors Inc. were the independent auditors for the year under review and their re-appointment depends on a resolution taken to that effect by section owners at the forthcoming annual general meeting.

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)

Financial Statements for the year ended 30 September 2019

Statement of Financial Position

Figures in R	Notes	2019	2018
Assets			
Current Assets			
Levies in arrears	3	13,444	34,555
Trade and other receivables	4	7,383	12,977
Cash and cash equivalents	5	426,880	421,915
		447,707	**469,447**
Total Assets		**447,707**	**469,447**
Reserves and Liabilities			
Reserves and Funds			
Reserve fund	6	217,592	195,607
Administrative fund		(10,750)	38,246
		206,842	**233,853**
Current Liabilities			
Provisions - council discrepancies	7	163,640	179,022
Trade and other payables	8	46,374	19,285
Levies in advance	9	30,851	37,287
		240,865	**235,594**
Total Funds and Liabilities		**447,707**	**469,447**

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)

Financial Statements for the year ended 30 September 2019

Statement of Comprehensive Income

Figures in R	2019	2018
Levy income	615,528	611,853
Other income	(5,713)	6,161
Operating costs	(631,498)	(483,644)
Operating (deficit) / surplus	**(21,683)**	**134,370**
Finance income	23,224	7,630
Surplus for the year	**1,541**	**142,000**

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)

Financial Statements for the year ended 30 September 2019

Statement of Changes in Funds and Reserves

Figures in R	Reserve fund	Aministrative fund	Total
Balance at 1 October 2017	-	38,246	38,246
Transfer	195,607		195,607
Balance at 30 September 2018	**195,607**	**38,246**	**233,853**
Balance at 1 October 2018	195,607	38,246	233,853
Total comprehensive income for the year			
Deficit for the year		(48,996)	(48,996)
Total comprehensive income for the year	-	(48,996)	(48,996)
Transfer from Reserve fund	(37,172)		(37,172)
Transfer to Reserve fund	59,157		59,157
Balance at 30 September 2019	**217,592**	**(10,750)**	**206,842**
Note	6		

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)

Financial Statements for the year ended 30 September 2019

Statement of Cash Flows

Figures in R		2019	2018
Cash flows from operating activities			
Deficit for the year		(48,996)	-
Adjustments for:			
Investment income		(23,224)	(7,630)
Movements in reserve fund		50,537	195,607
Transfer from Reserve fund		(37,172)	-
Operating cash flow before working capital changes		(58,855)	187,977
Working capital changes			
Decrease / (increase) in levies receivable		14,675	(4,482)
Decrease in trade and other receivables		5,594	471
Increase in trade and other payables		20,327	80,683
Net cash flows (used in) / from operations		(18,259)	264,649
Investment income		23,224	7,630
Net cash flows from operating activities		**4,965**	**272,279**
Net increase in cash and cash equivalents		4,965	272,279
Cash and cash equivalents at beginning of the year		421,915	149,636
Cash and cash equivalents at end of the year	5	**426,880**	**421,915**

Accounting Policies

1. General information

Taragona Body Corporate is a body corporate sectional scheme in South Africa. The principal activities are responsible for the management and administration of the common property..

2. Summary of significant accounting policies

These annual financial statements have been prepared in accordance with the International Financial Reporting Standards for Small and Medium-sized Entities issued by the International Accounting Standards Board and the requirements of the Sectional Titles Schemes Management Act no 8, 2011, the Sectional Titles Schemes Management Regulations, 2016 and the Management Rules. The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

These financial statements have been prepared under the historical cost convention and are presented in South African Rands.

2.1 Revenue recognition

The ordinary levies receivable are accounted for on a straight-line basis over the financial year and decided amongst the trustees on a participation quota basis. The annual ordinary levies are agreed and approved by the trustees at the body corporate's annual general meeting. Interest is recognised, in surplus or deficit, using the effective interest rate method. Interest on arrear levy contributions is recognised in terms of prescribed management rule 21(3)(c).

2.2 Income taxes

Provisions for tax are made at the corporation rate on net investment income earned by the body corporate, less allowable expenses applicable to bodies corporate. The body corporate is taxed in terms of Section 10(1)(e) of the Income Tax Act and Interpretation Note 64.

2.3 Trade and other receivables

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest rate method, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the body corporate will not be able to collect all amounts due according to the original terms of the receivables.

2.4 Cash and cash equivalents

Cash and cash equivalents includes cash on hand, demand deposits and other short-term highly liquid investments with original maturities of three months or less. Bank overdrafts are shown in current liabilities on the statement of financial position.

2.5 Trade payables

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest rate method.

Notes to the Annual Financial Statements

Figures in R	2019	2018

3. Levies in arrears

Member	90 Days+	60 Days	30 Days	Current	Total	Prior year
TG 07	0.00	0.00	0.00	46.44	46	-
TG 11	0.00	0.00	0.00	989.65	990	-
TG 12	0.00	0.00	0.00	97.83	98	-
TG 14	0.00	0.00	0.00	28.64	29	-
TG 18A	0.00	0.00	0.00	7.35	7	-
TG 20	0.00	0.00	0.00	1,499.22	1,499	-
TG 23	0.00	0.00	0.00	36.96	37	-
TG 26A	144.69	2,967.84	3,542.08	4,083.09	10,738	-
Total	145	2,968	3,542	6,789	13,444	34,555

4. Trade and other receivables

Legal fees recoverable	5,558	2,772
Repairs and maintenance recoverable	1,825	10,205
	7,383	12,977

5. Cash and cash equivalents

Favourable cash balances		
Cash on hand	4,339	4,188
ABSA Bank Current Account	26,996	137,552
ABSA Bank Money Market Account	395,380	280,175
Bank balances	165	-
	426,880	421,915

6. Reserve fund

Reserve fund		
Balance at 1 October	195,607	-
Transfer to reserves	50,537	142,000
Transfer from reserves	(37,172)	(153,491)
Transfer from Levy fund	8,620	207,098
Total	217,592	195,607

Notes to the Annual Financial Statements

Figures in R	2019	2018

7. Provisions - council discrepansies

Provisions - council discrepansies		
Carrying amount at the beginning of the year	179,022	119,446
Increase in provision	-	59,576
Unused amounts reversed during the period	(15,382)	-
Carrying amount at end of the year	163,640	179,022

Provisions are raised between the estimates of the City of Johannesburg and actual recoveries from meter reading

8. Trade and other payables

Trade Creditors	46,374	19,285

Creditor ageing

Creditor name	90 Days+	60 Days	30 Days	Current	Total	Prior year
Audit fees	-	-	-	12,696	12,696	10,000
Sectional Title Specialists	-	-	-	2,908	2,908	5,200
Community Scheme Ombud Service Levy	-	-	-	3,726	3,726	1,735
Insurance claims	-	-	-	14,935	14,935	2,350
City of Johannesburg - water	-	-	-	12,109	12,109	-
Total	-	-	-	46,374	46,374	19,285

9. Levies in advance

Member	90 Days+	60 Days	30 Days	Current	Total	Prior year
TG 04	-	-	-	12	12	-
TG 05	-	-	-	2 995	2,995	-
TG 06	-	-	-	641	641	-
TG 08	-	-	-	2 840	2,840	-
TG 10	-	-	-	2 401	2,401	-
TG 13	-	-	-	3 475	3,475	-
TG 15	-	-	-	1 409	1,409	-
TG 16	-	-	-	1 985	1,985	-
TG 19	-	-	-	1 679	1,679	-
TG 25	-	-	-	2 302	2,302	-
TG 27	-	-	-	4	4	-
TG 31	-	-	-	1 201	1,201	-
TG 32	-	-	-	1 425	1,425	-
TG 33A	-	-	-	1 018	1,018	-
TG 34A	-	-	-	1 927	1,927	-
Unallocated receipts	-	-	-	5,537	5,537	-
Total	-	-	-	30,851	30,851	37,287

Notes to the Annual Financial Statements

Figures in R	2019	2018

10. Income tax expense

No provision has been made for 2019 income tax as the body corporate has no investment income exceeding R50,000 in terms of section 10(1)(e) of the Income Tax Act.	-	-

11. Garden and pool maintenance

Garden and pool maintenance	18,501	4,875
	18,501	4,875

12. Insurance policies

Insurance policy details

The body corporate holds the following insurance policies with expiry dates as set out below:

Underwriter	Description of cover	Expiry date
Compass Insurance Company Limited	Community Living Insurance	30 September 2020

Commercial and Industrial Acceptances (Pty) Limited

Policy number	CIA 0000-78330
Period of cover	01 October 2019 to 30 September 2020
Policy expiry date	30 September 2020
Payment basis	Monthly
Sum insured	$48,616,170
Amounts paid	$55,349

13. Repairs and maintenance

R&M: Consumables	1,008	449
R&M: Electrical	3,295	8,951
R&M: Fire equipment	-	3,142
R&M: Maintenance general	49,980	36,780
R&M: Plumbing	15,975	(5,846)
R&M: Security	(710)	800
R&M: Signage	230	45
	69,778	44,321

TARAGONA BODY CORPORATE

(Sectional Scheme Number SS 169/1992)

Financial Statements for the year ended 30 September 2019

Detailed Income Statement

Figures in R	Notes	2019	2018
Levy Income			
Levy - Yard		2,009	1,931
Levy - Garden		4,874	4,584
Levy - Painting		-	20,000
Levy - Parking		31,491	30,382
Levy - Staff Quarters		4,139	3,980
Ordinary levies		573,015	550,976
		615,528	611,853
Other Income			
Investment income		23,224	7,630
Penalty levy		(5,713)	6,161
		17,511	13,791
		633,039	**625,644**
Municipal charges			
Water		132,391	66,743
Domestic Effluent		97,829	83,013
Total Net municipal charges		230,220	149,756
Expenditure			
AGM expenses		200	-
Auditors' remuneration		11,496	11,270
Bank charges		5,881	9,089
Community Scheme Ombud Service Levy		50	-
Garden and pool maintenance	11	18,501	4,875
Insurance	12	55,349	48,349
Management fees		70,395	66,396
Printing and stationery		96	80
Repairs and maintenance	13	69,778	44,321
Salaries		59,254	54,108
Security		110,278	95,400
		631,498	483,644
Surplus After Taxation		**1,541**	**142,000**
Reserves for maintenance		(50,537)	(142,000)
Net Surplus / (Deficit)		**(48,996)**	-

The supplementary information presented does not form part of the annual financial statements and is unaudited

Return address:
Private Bag X18, Johannesburg, 2000

Cheque Account Number: **40-7509-1488**

008140
008534

TARAGONA BODY CORPORATE
PO BOX 238
SUNDOWNER
2161

Verdi Centre
Shop 1 Verdi Shopping Centre
P O Box 261001
Excom
2023

011 446 6600

Cheque account statement

8 Jan 2021 to 7 Feb 2021

Account Type: Classic Business Acc **Issued on:** 7 Feb 2021
Statement no: 0134
Client VAT reg no:

Account Summary:

Balance Brought Forward	50 303,52
Deposits	3 340,00
Sundry Credits	79 079,43
Sundry Debits	78 208,60-
Charges	495,16-
Balance	**54 019,19**
Overdraft Limit	**0,00**

Your transactions

Date	*Transaction Description*	*Charge*	*Debit Amount*	*Credit Amount*	*Balance*
8/01/2021	Bal Brought Forward				50 303.52
11/01/2021	Atm Payment Fr Craighall Card No. 8488 Absa Bank Unit 28 Tg			1 769.25	52 072.77
11/01/2021	Ibank Payment To Settlement Absa Bank Admin		6 594.00		45 478.77
12/01/2021	Acb Credit Settlement Unit 23 Tg			443.00	45 921.77
18/01/2021	Acb Credit Settlement Tg22a			1 084.00	47 005.77
21/01/2021	Ibank Payment To Settlement Absa Bank Wiseman Salary		4 561.95		42 443.82
22/01/2021	Inet Immediate Pmt Settlement Absa Bank Jambase 1605db32c4		820.00		41 623.82
22/01/2021	Acb Credit Settlement Unit 23 Tg			300.00	41 923.82
22/01/2021	Acb Credit Settlement Cia528949			7 700.00	49 623.82
23/01/2021	Acb Credit Settlement Tg16a			1 335.50	50 959.32
23/01/2021	Acb Credit Settlement Unit 23 Tg			630.00	51 589.32
25/01/2021	Ibank Payment To Settlement Absa Bank Electricity		16 111.89		35 477.43
25/01/2021	Ibank Payment To Settlement		5 081.08		30 396.35

Cheque Account Number: **40-7509-1488**

Your transactions (continued)

Date	Transaction Description		Charge		Debit Amount	Credit Amount	Balance
	Absa Bank Water						
25/01/2021	Ibank Payment To	Settlement			17 358.84		13 037.51
	Absa Bank Sanit						
25/01/2021	Acb Credit	Settlement				1 913.88	14 951.39
	Tg 17a						
26/01/2021	Ibank Payment To	Settlement			4 000.00		10 951.39
	Absa Bank Prime Plumbing						
27/01/2021	Ibank Payment To	Settlement			1 800.00		9 151.39
	Absa Bank Berario Electrical						
27/01/2021	Ibank Payment To	Settlement			144.00		9 007.39
	Absa Bank Pro Pay Roll						
27/01/2021	Ibank Payment To	Settlement			750.00		8 257.39
	Absa Bank Volkscoms						
27/01/2021	Ibank Payment From	Settlement				1 012.38	9 269.77
	Absa Bank Tg31						
28/01/2021	Acb Credit	Settlement				765.00	10 034.77
	Tg22a						
28/01/2021	Acb Credit	Settlement				2 459.23	12 494.00
	Capitec Tg 13						
29/01/2021	Acb Credit	Settlement				3 070.00	15 564.00
	Tg8						
29/01/2021	Acb Credit	Settlement				10 000.00	25 564.00
	Tg 18a						
29/01/2021	Acb Credit	Settlement				15 000.00	40 564.00
	Tg 11						
30/01/2021	Internet Bank Fee	Settlement		*	232.25		40 331.75
30/01/2021	Acb Credit	Settlement				2 014.00	42 345.75
	Tg10						
1/02/2021	Monthly Acc Fee	Headoffice		*	80.00		42 265.75
1/02/2021	Transaction Charge	Headoffice		*	79.00		42 186.75
1/02/2021	Cash Deposit Fee	Headoffice		*	103.91		42 082.84
1/02/2021	Ext Stop Order To	Settlement	19.75	T	1 000.00		41 082.84
	Std S.A. Whitfield Prop						
1/02/2021	Atm Payment Fr	Bp Linden				1 751.55	42 834.39
	Card No. 8488 Absa Bank Unit 28 Tg						
1/02/2021	Acb Credit	Settlement				3 044.65	45 879.04
	Payprop Tg19						
1/02/2021	Acb Debit:External	Settlement	19.75	T	400.00		45 479.04
	Insurance_cia68553						
1/02/2021	Acb Debit:External	Settlement	19.75	T	6 199.84		39 279.20
	Insurance_cia78330						
1/02/2021	Acb Credit	Settlement				1 013.43	40 292.63
	Capitec Tg 33 A						
1/02/2021	Acb Credit	Settlement				2 509.96	42 802.59
	Tg 07a						

ABSA Bank Limited
Authorised Financial Services Provider - Registered Credit Provider. Reg. No. NCRCP7
Registration Number 1986/004794/06

Tax Invoice
Vat Registration Number 4940112230

CSP001CQ (06/2018)
TBODY 126 4075091488 0134 07/02/2021